Module 2: Individual Insurance Products

Lesson 3: Annuities

Learning Objectives

After studying this lesson, you will be able to:

- Define an annuity and describe the key players involved in an annuity contract.
- Define a single-premium immediate annuity (SPIA) and explain how it works.
- Identify and distinguish among the types of payout options available under annuity contracts.
- Define a deferred annuity and distinguish it from an immediate annuity.
- Describe the ways that contract owners can access the funds in their deferred annuities.
- Describe the features of different fixed annuity products, such as fixed-rate deferred annuities (FRDAs), fixed indexed annuities (FIAs), and others.
- Explain how variable annuities differ from traditional FRDAs and describe the benefit riders associated with variable annuities.
- Compare and contrast a registered index-linked annuity (RILA) with a traditional variable annuity and a FIA.

Introduction to Annuities

Learning Objective

Define an annuity and describe the key players involved in an annuity contract.

Which of these statements best describes an annuity?

An interest-earning time deposit held in a depository institution for a specified time period.

A financial product that offers individuals a means of accumulating, protecting, and distributing assets.

An investment vehicle that pools money from many investors to purchase securities.

That's correct!

The first statement describes a certificate of deposit, and the third statement describes a mutual fund. Annuities are a financial product that allows for the accumulation, protection, and distribution of assets.

Recall from Module 1 that an *annuity* is a financial product in which an insurer promises to make a series of payments to a named person or entity

in exchange for a premium or series of premiums. Annuities offer individuals a way to accumulate and protect assets, with the option of converting those accumulated assets into a sustainable stream of income. An annuity guarantees a stream of income through a series of periodic payments known as **annuity payments** in exchange for one or more premiums.

In this course, we will use the terms *annuity contract* and *annuity* interchangeably.

Individual and Group Annuities

An annuity that a person buys is an **individual annuity**, as opposed to a **group annuity**. We'll discuss only individual annuities in this lesson.

Annuities may be purchased in connection with a retirement plan or **individual retirement arrangement (IRA)**. An annuity purchased to fund or distribute funds from a retirement plan or IRA is known as a **qualified annuity**. **Nonqualified annuities** are purchased outside of a retirement plan or IRA. All the different types of annuities we discuss in this lesson can be either qualified or nonqualified annuities.

The parties to an annuity contract are the insurance company and the **contract owner**. A contract owner that is not a real person is often called a **non-natural owner**.

In the United States, only insurers can **issue** an annuity—which means assuming the risk associated with the annuity. However, insurers, banks, broker-dealers, and investment companies can all **sell** annuities. Although banks, broker-dealers, and investment companies can sell and distribute annuities, they **are not** parties to the contract.

Annuities come in many different varieties. Even the same type of annuity may differ from company to company, so understanding the terms of the annuity contract is very important.

Key Players

Annuities have several key players. Let's take a look at them.

- Who's the **annuitant**?

The **annuitant** is the person whose lifetime the insurance company uses to determine the amount and duration of annuity payments payable under an annuity contract. Typically, annuity contracts state that the insurer will make annuity payments to the annuitant.

- What does the term **payee** mean?

The **payee** is a natural person or legal entity designated by a contract owner to receive annuity payments if the annuitant does not receive them.

- What's a **beneficiary**?

The **beneficiary** is the person or legal entity who may receive the remaining value of the annuity contract upon the death of the contract owner or annuitant.

- Who's a **joint annuitant**?

A **joint annuitant** is a person, in addition to the primary annuitant, whose lifetime the insurance company uses to determine the amount and duration of annuity payments payable under an annuity contract.

Note that annuitants and joint annuitants must be people—but payees and beneficiaries can be either people or legal entities, such as trusts or corporations.

For many annuity contracts,

Contract owner = Annuitant = Payee

Two Key Attributes of an Annuity

Guarantees a lifetime stream of income.

Although some bank accounts are insured by the Federal Deposit Insurance Corporation (FDIC), only annuity contracts can guarantee annuity payments. The issuing insurance company guarantees these payments. In the unlikely event that the insurer becomes insolvent, the state guaranty associations offer some relief to consumers.

Favorable tax treatment promotes long-term savings.

To encourage people to save for retirement, the Internal Revenue Code (IRC) grants favorable tax treatment to people who purchase annuities. Taxes are not usually required on annuity earnings until they are withdrawn from the annuity. Note that some annuities lose the advantage of tax-deferred

earnings if they are owned by certain non-natural persons, such as trusts or corporations.

In the United States, which financial institution can issue annuities?

Insurer

Bank

Broker-dealer

That's correct!

In the United States, only insurers can *issue*—that is, assume the risk associated with—an annuity. Insurers, banks, broker-dealers, and investment companies can all *sell* annuities.

Use the information below to answer the following questions:

Robert Connelly purchased an annuity from Silver Star Bank. Onyx Life Insurance Company will issue the annuity. Robert wants to start receiving annuity payments when he retires. Robert and his wife, Madge, will receive payments until the last one dies. Their daughter, Karen, will receive any value that remains in the annuity contract after both Robert and Madge die.

The parties to this annuity contract are

Robert and Silver Star Bank

Robert and Onyx Life

Robert, Silver Star Bank, and Onyx Life

That's correct!

The parties to an annuity contract are the insurance company (Onyx Life) and the contract owner (Robert). Silver Star Bank sells the annuity but is not a party to the contract.

Madge is a (**primary annuitant / joint annuitant**), and (**Karen / Madge**) is a beneficiary.

primary annuitant / Karen

primary annuitant / Madge

joint annuitant / Karen

joint annuitant / Madge

That's correct!

Madge is a joint annuitant because the insurer uses her lifetime, in addition to Robert's lifetime, to determine the amount and duration of annuity payments.

Karen is the beneficiary because she will receive the remaining value of the annuity contract after Robert and Madge die.

Immediate Annuities and Payout Options

Learning Objectives

Define a single-premium immediate annuity (SPIA) and explain how it works.

Identify and distinguish among the types of payout options available under annuity contracts.

Immediate Annuities

An **immediate annuity** begins making annuity payments within one year after purchase. These annuities are also known as **single-premium immediate annuities (SPIAs)** because they require only one lump-sum premium payment.

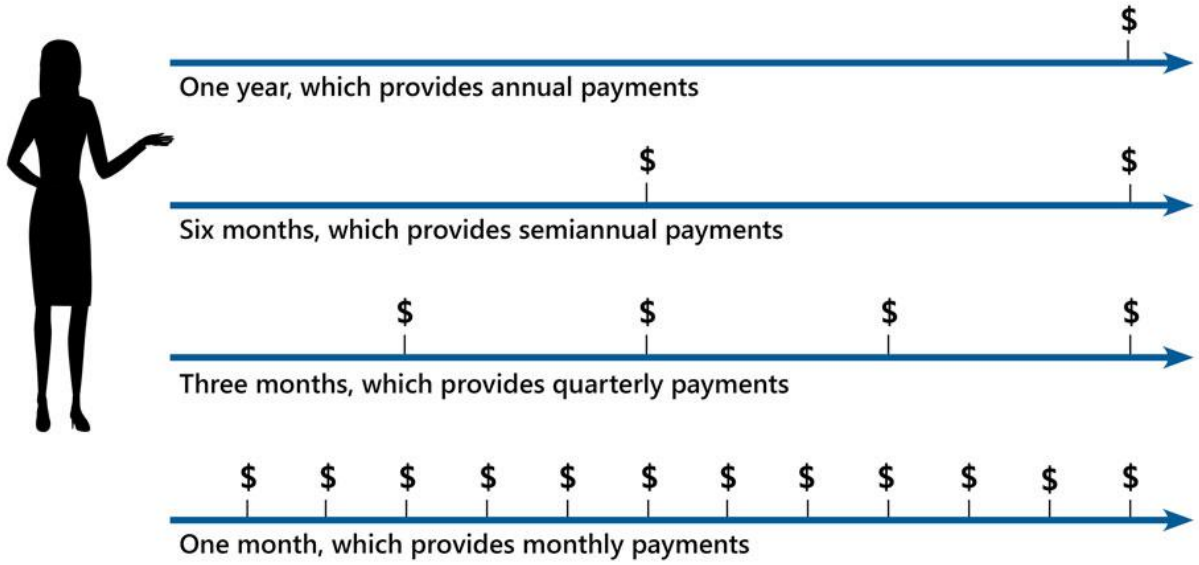
SPIAs allow contract owners to

- Use a lump sum from another source, such as a retirement plan account balance, as the premium payment. This feature makes SPIAs a popular retirement product, especially for individuals who aren't covered by a pension plan.
- Begin receiving annuity payments immediately, but not more than one year later.

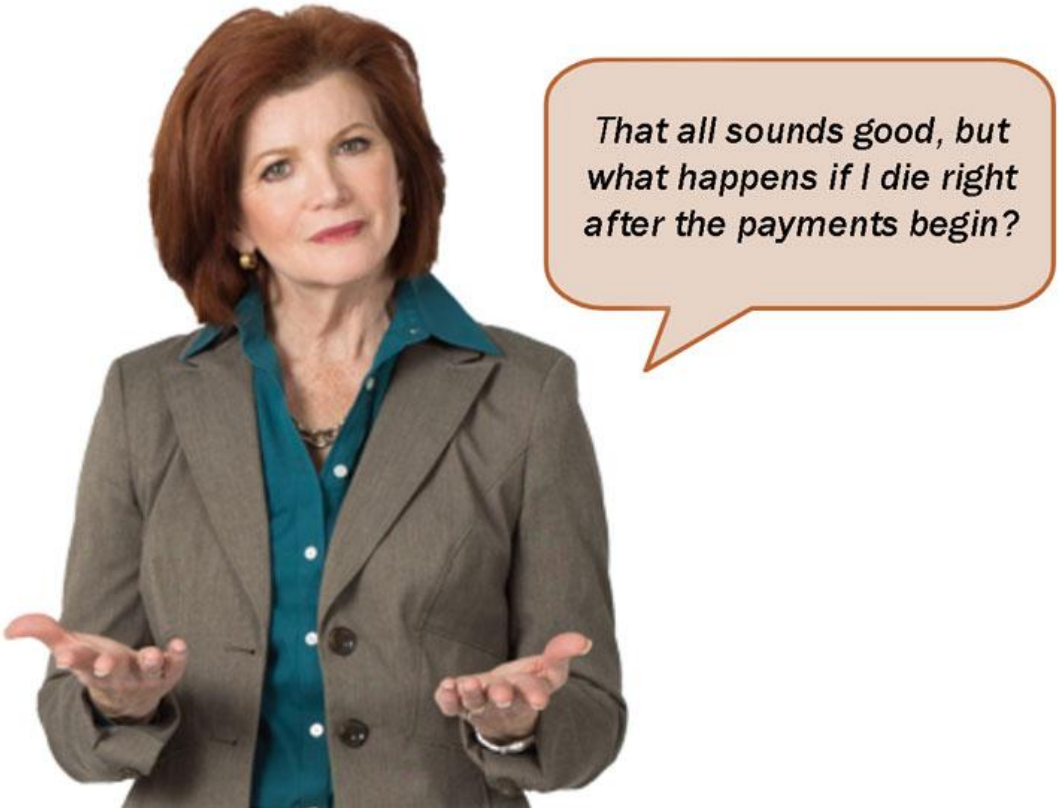
Annuity Periods

How often the insurer makes annuity payments depends on the **annuity period** selected by the contract owner.

Annuity periods can be



Annuity periods of one month and one year are the most common.



Payout Options Based on Life Expectancy

Insurers offer different payout options, which let contract owners choose how they will receive annuity payments.

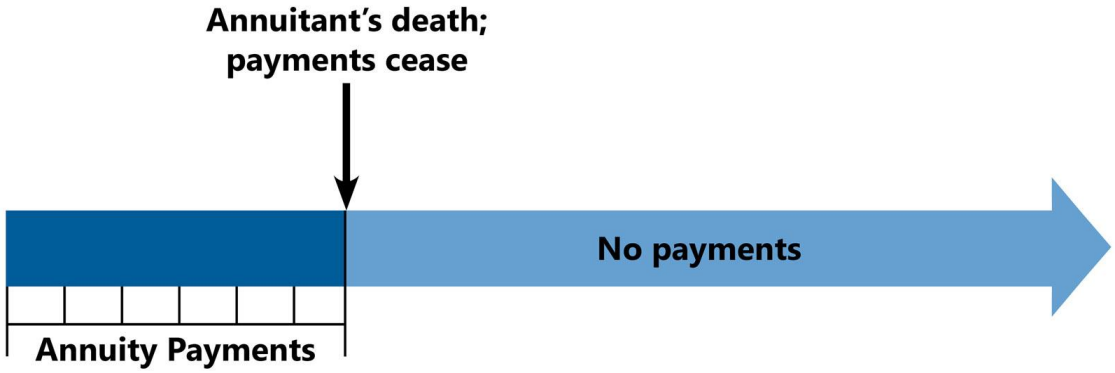
Payout options affect

- The amount of each annuity payment
- How long annuity payments continue
- Taxes

As a result, choosing the correct payout option is an important decision.

Life Annuity

The life annuity (also known as the *life only annuity* or *straight life annuity*) makes payments for the lifetime of the annuitant. When the annuitant dies, the payments end.



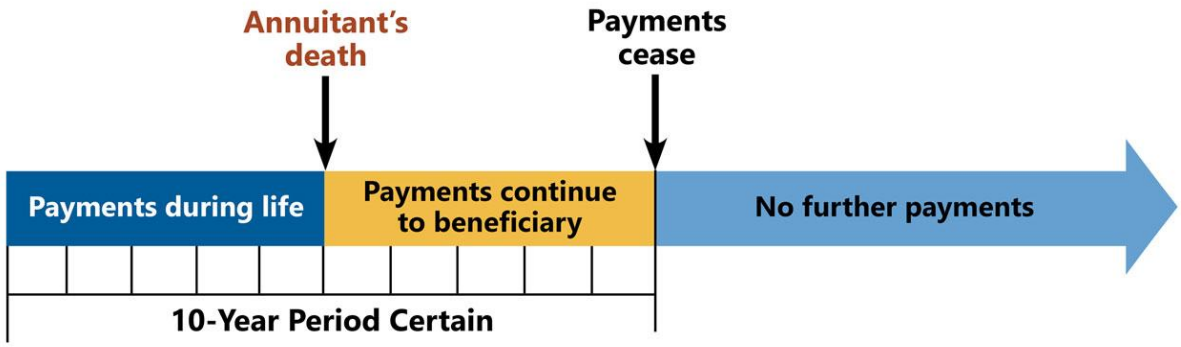
A contract owner may receive more in payments than was paid into the annuity if the owner lives longer than the insurer expected when it issued the contract. However, the contract owner will receive less than was paid in if the owner dies sooner than expected.

Life Income with Period Certain

A life income with period certain annuity guarantees that the insurer will make payments for the annuitant's lifetime and for at least a specified period of time, even if the annuitant dies before the end of that time period. The guaranteed period is known as the *period certain*.

The contract owner specifies the length of the period certain—which is usually 5, 10, 15, or 20 years—when the contract is purchased. The owner

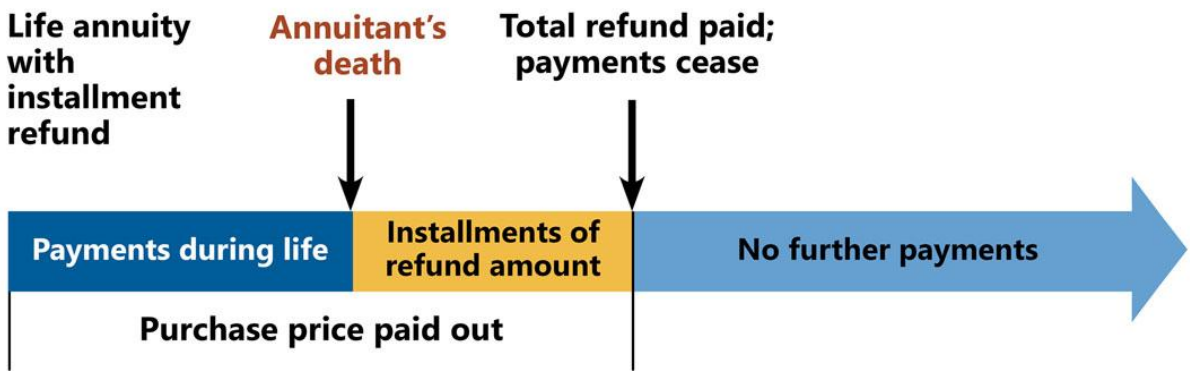
also designates a beneficiary to receive annuity payments if the annuitant dies before the end of the period certain.



Life Income with Refund Annuity

A life income with refund annuity makes payments throughout the lifetime of the annuitant and guarantees that at least the purchase price of the annuity will be paid out.

If the annuitant dies before the total purchase price of the annuity has been paid out, the insurer will pay the beneficiary the difference between the annuity payments made and the purchase price of the contract. Some annuity contracts give the contract owner a choice of a lump-sum refund or an installment payment refund.



An expert explains that many people will accept lower annuity payments in exchange for guarantees.

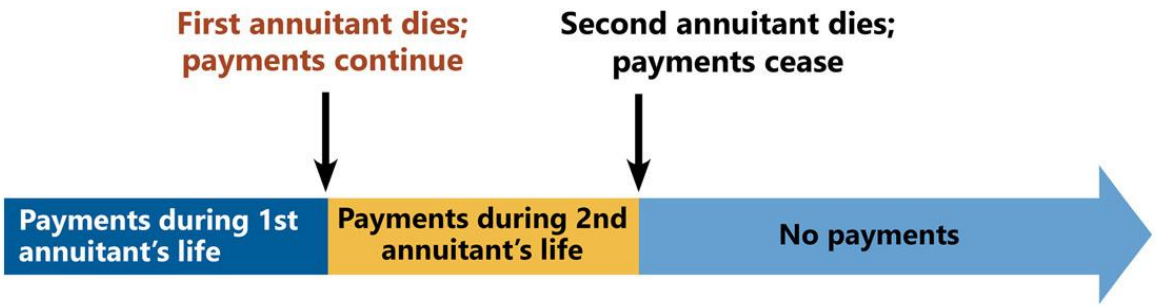
Joint and Survivor Annuity

A joint and survivor annuity makes payments based on the life expectancies of two annuitants, and payments continue until the last annuitant dies.

The annuity contract specifies whether payment amounts

- Remain the same after the first annuitant dies or
- Decrease by a stated amount, such as 50%, should one annuitant survive the other

All life contingent options—life annuity, life income with period certain annuity, and life income with refund annuity—can be based on a single life or joint lives. The following illustration is of a joint and survivor life annuity.



Payout Options Not Based on Life Expectancy

Some people want annuities that guarantee payments for a certain period of time or for a specific amount, without being based on the annuitant's life expectancy.

Let's see what kinds of options they have.

Fixed Period Annuity

The fixed period annuity guarantees annuity payments for a specified time period. If the annuitant dies, the insurer pays the remaining annuity payments to a beneficiary until the end of the specified period.

Annuitant

Example

Joe Bingham purchased a 20-year fixed period annuity. He named his wife, Trish, as the beneficiary.

Analysis

Joe's annuity will pay $540 per month for 20 years. If Joe lives for 27 years after his payments begin, he will receive payments for only 20 of those years. If, however, Joe dies 8 years after payments begin, the insurer will continue to make payments to Trish for 12 years.

A fixed period annuity can create a temporary income stream to delay taking Social Security benefits or to supplement other income sources for a specified period of time.

Fixed Amount Annuity

As its name suggests, a **fixed amount annuity** provides annuity payments of a specified amount. With a fixed amount annuity, the contract owner informs the insurer of the premium she will pay and the amount of each annuity payment. The insurer then calculates how long the premium plus interest can provide annuity payments of the specified amount.

If the annuitant dies before the annuity payments equal the premium paid, the insurer will pay the remaining annuity payments to the beneficiary.

Example

Max Crider bought a fixed amount annuity paying $1,000 each month and designated his son, Michael, as his beneficiary. His premium is $250,000.

Analysis

The insurer will inform Max of how long he will receive monthly annuity payments of $1,000, as well as the amount of the last payment, which will be less than $1,000. If Max dies before the annuity payments have equaled the premium paid, Michael will receive the remaining annuity payments.

Payment Considerations

The longer the insurer is likely to make annuity payments—as a result of a guaranteed period certain, a refund, or joint life expectancies—the lower the annuity payments will be.

Insurers frequently offer a cost of living adjustment (COLA) option with SPIAs. A COLA helps the amount of the annuity payments keep up with inflation. Typically, a COLA option increases the annuity payments by a set percentage each year.

Some COLAs tie the annuity payments to the Consumer Price Index. In that situation, annuity payments may increase each year, but they are lower to begin with than they would have been without the COLA.

Commutation Rights in SPIAs

Some, though not all, SPIAs allow the contract owner to exercise what's known as a **commutation right**, where the owner receives a lump-sum payment from the contract's principal—even while the owner is receiving annuity payments under the contract. Under a typical commutation right, the owner is permitted to "commute" a portion of the future payments, such as 40%. If the owner chooses commutation, the remaining annuity payments will be lower.

Let's Review

The following situations describe different payout options for annuities. Select the answer choice that illustrates the payout option known as a life income with period certain annuity.

Drew and Beth Dawson own an annuity under which payments will continue until both of them have died.

Mable Cowan owns an annuity that makes payments for as long as she lives. When she dies, the payments end.

Kyle Bastrop's annuity will make annuity payments for at least 10 years. If he dies before the end of that period, the insurer will continue payments to his beneficiary. If he lives beyond 10 years, the insurer will make payments until he dies.

With the payout option known as a life income with period certain annuity, the annuitant knows that payments will be made for at least the specified period (in this case, 10 years); if he lives beyond that period, he will continue to receive payments until his death.

Paul Landry's annuity guarantees that annuity payments will continue throughout his lifetime, and that at least the purchase price of the annuity will be paid out.

That's correct!

Deferred Annuities

Learning Objectives

Define a deferred annuity and distinguish it from an immediate annuity.

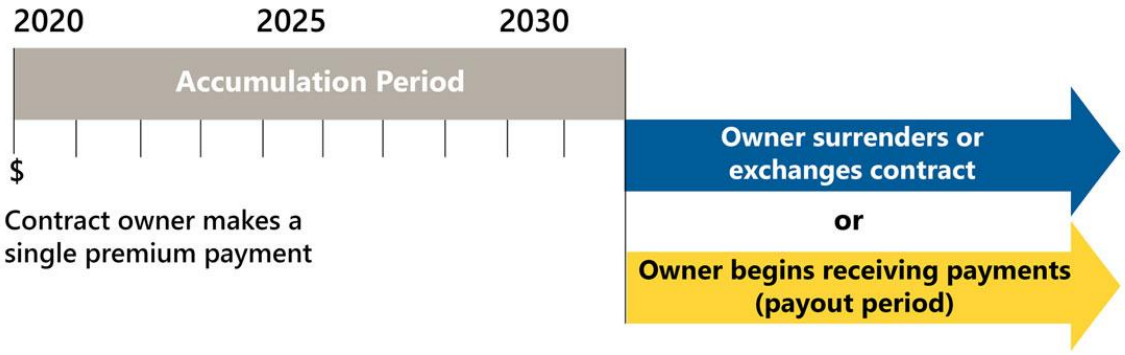
Describe the ways that contract owners can access the funds in their deferred annuities.

Angela Townsend is 58 years old and plans to retire in ten years. Her aunt recently died and left her an inheritance. Angela wants to use this money to purchase an annuity; however, she is still working full time, so she doesn't currently need an income stream. Angela might find a deferred annuity to be more appropriate for her needs than an immediate annuity.

Deferred Annuities

Some people want to accumulate savings and allow those savings to increase in value over time. For these people, a deferred annuity may be a good option. A deferred annuity has an accumulation period, which extends from the time the contract owner purchases the contract until the owner either begins receiving annuity payments or surrenders the contract.

A deferred annuity can be classified as a single-premium deferred annuity (SPDA) or a flexible-premium deferred annuity (FPDA). However, most deferred annuities are SPDAs. The figure below illustrates a typical SPDA.



The contract owner's premiums generate earnings during the accumulation period. The total of the premiums and earnings, less any withdrawals and charges assessed by the insurer, is called the accumulated value.

Accumulated Value = Premiums + Earnings – (Withdrawals + Charges)

The contract owner can withdraw some or all of his money during the accumulation period.

Accessing Funds in a Deferred Annuity

If a contract owner wants to access funds from the annuity's accumulated value, the following options are usually available:

- Taking withdrawals
- Surrendering the contract
- Annuitizing the contract

These choices are not mutually exclusive.

Chang Lee's deferred annuity allows for withdrawals of 10% of the accumulated value each year. What do you think the insurer will do if Chang requests a withdrawal of 15% in the second year of the contract?

Cancel the annuity contract

Pay 10% of the accumulated value only

Pay 15% of the accumulated value but impose a penalty charge

That's correct!

The insurer can't cancel the contract or limit the amount of Chang's withdrawal. However, if Chang's contract limits the amount of penalty-free annual withdrawals to a certain percentage, the insurer is likely to assess a penalty charge on any amount taken in excess of that percentage.

Withdrawals and Surrenders

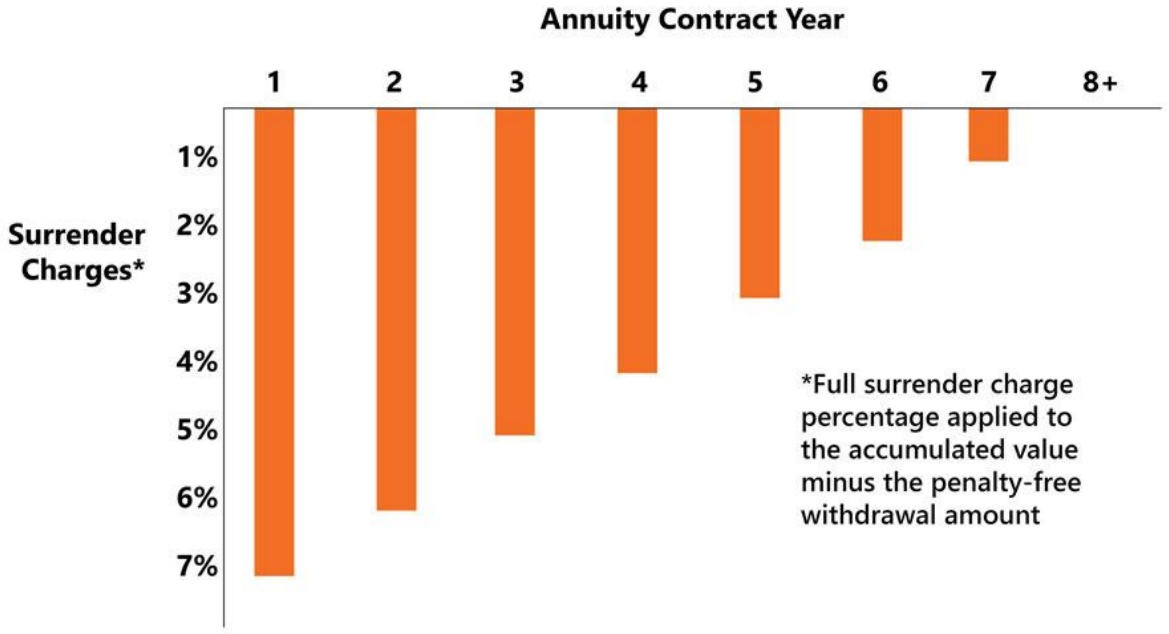
Deferred annuities typically allow the contract owner to take **withdrawals** from the accumulated value during the accumulation period. A typical contract allows the owner to withdraw 10% of the accumulated value each year.

Withdrawals, however, reduce the annuity's accumulated value and may result in a **surrender charge** from the insurer, as well as federal taxes. Surrender charges help insurance companies recoup the acquisition costs incurred in issuing and selling contracts.

An insurer imposes a surrender charge when the contract owner either (1) takes withdrawals in excess of those allowed by the contract or (2) fully surrenders the contract before the expiration of the surrender charge period. A full surrender terminates the contract, and the contract owner receives the contract's surrender value.

Surrender charges typically apply during the early years of the contract and decrease each year until the end of the surrender charge period. The reason for this decrease—and the eventual elimination of the charge—is that, the longer the contract is in force, the more of the acquisition costs the insurer is able to recover through invested premiums and/or charges on the products.

The following figure illustrates surrender charges for an annuity.



*Note: With a flexible-premium annuity, each deposit typically has its own surrender schedule.

Annuitization

Annuitization is the optional process of converting the accumulated value of a deferred annuity into annuity payments; if the contract owner chooses to annuitize, the contract enters the **payout period**. In this case, the owner must select a payout option that determines how the insurer will distribute the payments.

Upon annuitization,

- The deferred annuity basically becomes an immediate annuity.
- The insurer begins making annuity payments on the **annuity start date**.

Most contract owners do not annuitize their contracts. They usually choose to take systematic withdrawals from the accumulated value instead.

The following table summarizes the differences between immediate and deferred annuities.

Purchased with a single premium or multiple premiums?	Always a single premium	Either, but single premium is the most common
Payout period?	Yes	No, unless the annuity is annuitized

Accumulation period?	No	Yes
Owner loses ownership and control of the funds?	Yes, unless the contract contains a commutation right	No
Can owner withdraw funds from the annuity?	No, unless the contract contains a commutation right	Yes, although withdrawing funds during the accumulation period may result in charges or taxes

Mindy Duggan purchased a deferred annuity from Good Day Life Insurance Company. Eight years later, Mindy is considering surrendering her deferred annuity. Will Mindy receive annuity payments if she surrenders her annuity?

Yes

No

That's correct!

If Mindy surrenders her annuity, she will receive the annuity's accumulated value minus any surrender charges imposed by the insurer.

Mindy's annuity probably contained (**higher** / **lower**) surrender charges during the contract's early years, and these charges have likely (**increased** / **decreased**) over time.

higher / increased

higher / decreased

lower / increased

lower / decreased

That's correct!

Annuity contracts typically contain higher surrender charges during the early years of a contract, and these charges usually decrease each year until the end of the surrender charge period.

Fixed Annuity Products

Learning Objective

Describe the features of different fixed annuity products, such as fixed-rate deferred annuities (FRDAs), fixed indexed annuities (FIAs), and others.

John:

People buy annuities with different goals in mind. Some like the security of earning a fixed amount on their money. Others like the potential for earning more than a guaranteed amount. As a result, insurers offer two basic types of annuities: fixed and variable.

Annuities can be classified as fixed or variable annuities. Who do you think bears the investment risk for a fixed annuity?

The insurer

The contract owner

That's correct!

For fixed annuities, insurers—not contract owners—bear the investment risk, making these products an attractive option for risk-averse individuals. Let's learn more about fixed annuities.

Fixed Annuities

An insurer bears the investment risk for all its fixed annuities—whether they are immediate or deferred—so the insurer deposits the premiums for these annuities in its general account. Recall that the *general account* is an

account that an insurer uses to support the company's contractual obligations to pay benefits for guaranteed insurance products, which include fixed annuity products.

We discussed single premium immediate annuities (SPIAs) earlier. Although variable SPIAs exist, they are relatively rare. So, SPIAs are usually fixed annuities. Now let's look at a more popular product—fixed *deferred* annuities—starting with fixed-rate deferred annuities, or FRDAs.

Fixed-Rate Deferred Annuities

Fixed-rate deferred annuities, or FRDAs, combine the principal and interest-rate guarantees of a fixed annuity with the asset accumulation properties of a deferred annuity. Clients often purchase FRDAs to protect and grow their principal and avoid market risks.

With an FRDA, the interest-rate guarantee ensures that the accumulated value will increase over time and the contract owner will never lose any of the premiums—or principal—paid into the annuity (unless possibly when the contract owner surrenders the contract during the surrender charge period).

During the accumulation period, the accumulated value of an FRDA earns interest in one of two ways:

- **Guaranteed minimum interest-crediting rate**

  The insurer states a guaranteed minimum interest-crediting rate in the contract. For example, an insurer might guarantee a minimum interest-crediting rate of 0.50%. In this case, the contract's accumulated value will never earn less than 0.50%.

- **Current interest-crediting rate**

  An insurer declares and pays this rate on the contract's accumulated value for a specified period. Insurers typically offer different current interest-crediting rates, depending on the term chosen by the contract owner—for example, a three-year, four-year, or five-year term.

  After the initial period, the FRDA is subject to a new interest rate for

the next period. The new current interest-crediting rate might be higher or lower than the previous rate, but it can't drop below the guaranteed minimum interest-crediting rate.

Example

The Tandem Insurance Company offers a guaranteed minimum interest-crediting rate of 0.50% on its FRDAs. Tandem provides different current interest-crediting rates, depending on whether the contract owner chooses a three-year, four-year, or five-year term:

3 Years	4 Years	5 Years
1.35%	1.40%	1.50%

Payout Period Guarantees

Contract owners who decide to annuitize their FRDAs can select from any of the payout options previously discussed. FRDAs contain payout schedules, which guarantee a minimum monthly annuity payment per $1,000 of accumulated value. (The actual payout factors used at annuitization may be more than these minimums.)

Most FRDAs specify that, when the insurer begins making annuity payments, the amount of each payment won't change for the time period specified. Having a dependable income allows for better budgeting of expenses. However, clients living on a fixed income may experience a loss of purchasing power during periods of inflation. Some FRDAs offer a cost-of-

living adjustment (COLA) rider or have a built-in auto increase feature to help protect against the effects of inflation.

Fixed-rate deferred annuities provide principal guarantees. Another type of annuity is a fixed indexed annuity, or FIA. Do you think an FIA provides a principal guarantee?

Yes

No

Maybe

That's correct!

Because it's a type of fixed deferred annuity, an FIA provides a principal guarantee, but it also offers the potential for more earnings, as you will see.

Fixed Indexed Annuities

Fixed indexed annuities (FIAs) offer principal guarantees and a guaranteed minimum interest-crediting rate during the accumulation period. In addition, FIAs offer the possibility of additional earnings based on changes in an index. A commonly used index in FIAs is the Standard & Poor's (S&P)

500 composite stock price index. The index specified in an FIA is known as the reference index.

How Does This Work?

Depending on the performance of the reference index, an FIA may earn interest credits. Most FIAs credit interest on an annual basis. As a general rule,

- If the reference index gains in value over the year, an annuity will earn interest credits
- If the reference index shows no growth or loses value over the year, an annuity will not earn interest credits

To compensate the insurer for these guarantees and for the costs of administering the product, the FIA contract typically limits the amount of interest credits that may be earned.

Deferred Income Annuities and Qualified Longevity Annuity Contracts

Despite its name, the deferred income annuity (DIA) is not a deferred annuity—and neither is a qualified longevity annuity contract (QLAC), which is a variation of a DIA. DIAs and QLACs possess features of immediate annuities and FRDAs:

- Like immediate annuities, DIAs and QLACs have no accumulation period and therefore no accumulated value. At the time of purchase, the buyer locks in a guaranteed payment amount at a future date.
- Like FRDAs, the date when payments will begin is at some point in the future—from 12 months to 40 years or more after purchase. Unlike FRDAs, though, DIAs and QLACs specify this date.

Let's see what an expert says about who could benefit from a deferred income annuity.

Deferred Income Annuities

A DIA is generally used in retirement to provide part of a retiree's income. Many DIAs give the owner flexibility after purchase to change the date that annuity payments begin. Some contracts allow cost-of-living adjustments, although they come with smaller initial annuity payments.

Many newer DIAs offer death benefits, but they come with the cost of noticeably lower annuity payments.

Example

Brian Adolphi is 60 and just bought a DIA. Annuity payments are scheduled to begin in 7 years when he retires at 67 and will continue for the rest of his life. Brian's DIA has no death benefit.

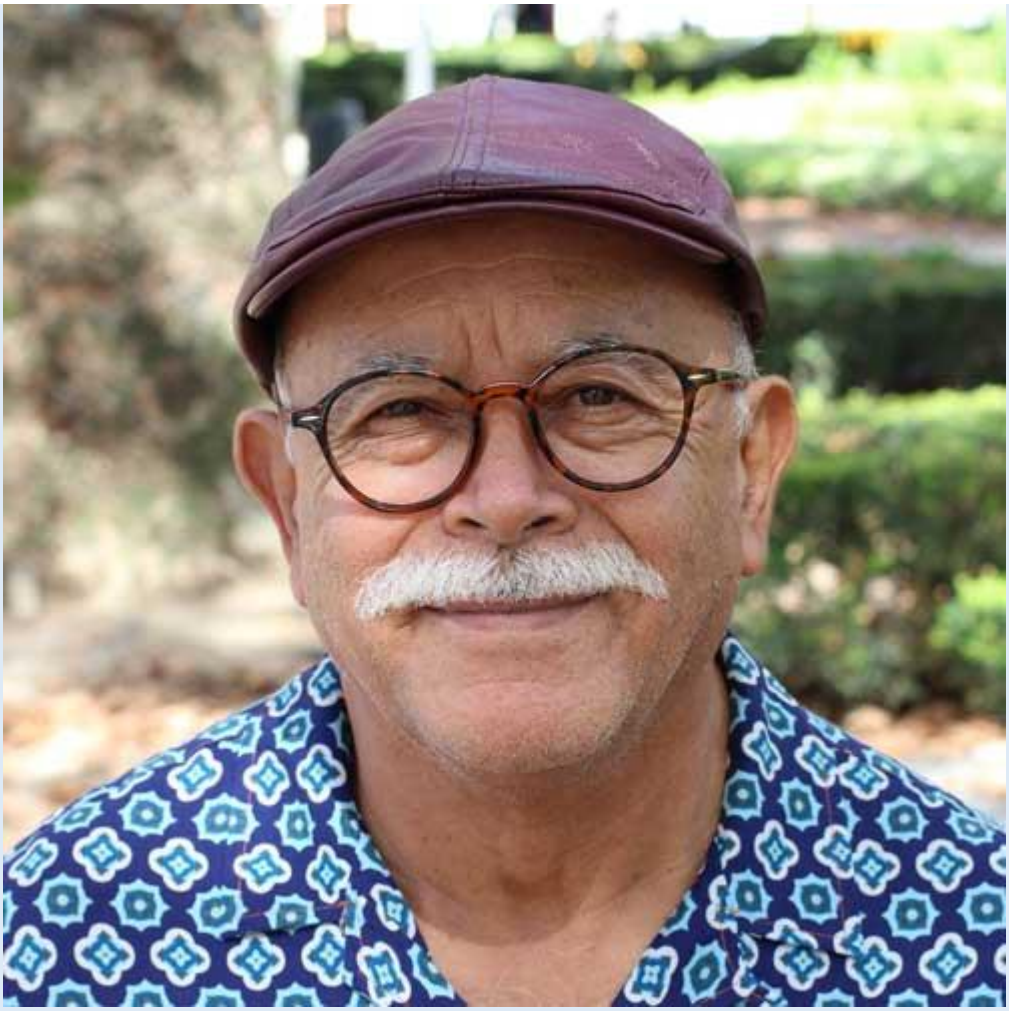
Analysis

If Brian dies at 65, he'll never receive any annuity payments. If he dies at 68, he'll receive only a year of payments, and no one else will receive any money after that. On the other hand, if Brian lives to be 90, he'll have received payments for 23 years, and these payments will have been larger than those for a traditional FRDA.

Qualified Longevity Annuity Contracts

QLAC annuity payments do not begin until an advanced age, such as 80. As a result, the annuity payments the person receives from a QLAC will be quite large compared to FRDA payments bought for the same premium amount. As with DIAs, contract owners of QLACs can choose a death benefit feature, but the income payments will be lower.

Note that, unlike the other types of annuities we discuss in this lesson, a QLAC can only be purchased with qualified retirement plan funds.



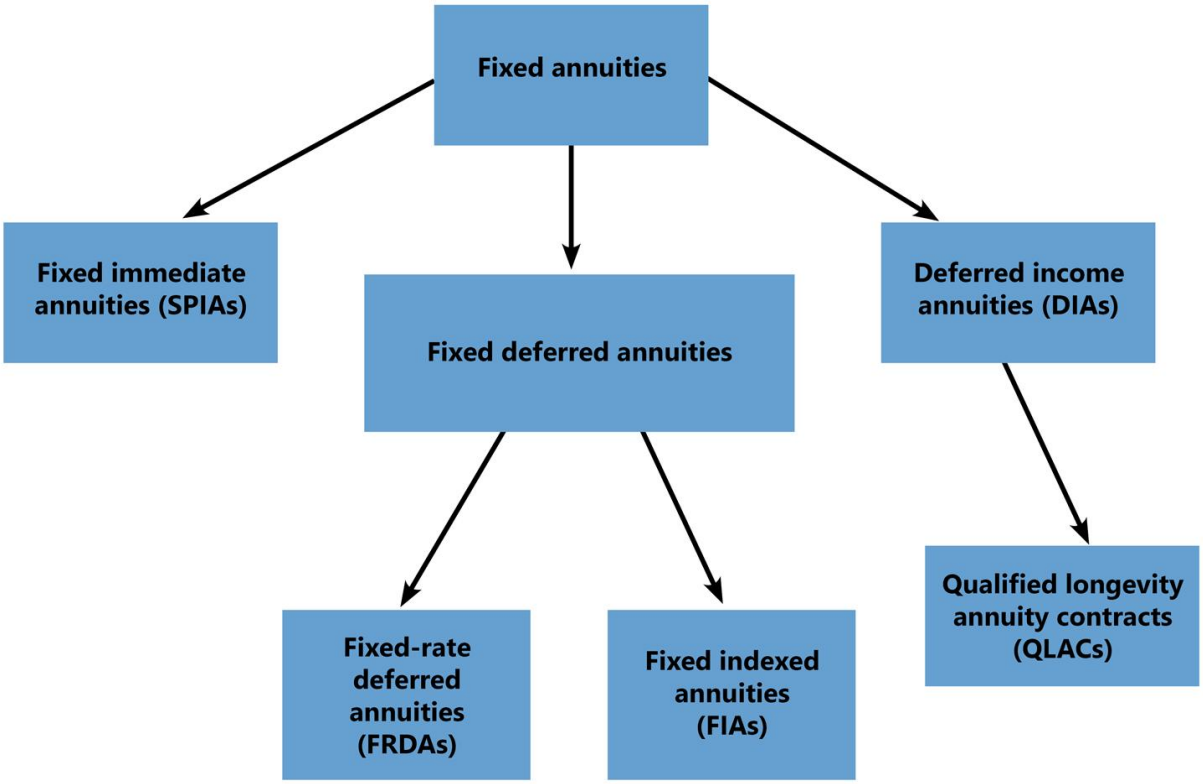
Example

At age 65, Manny Iruku has substantial funds in a brokerage account. He's concerned about outliving his assets, though, so he decides to buy a QLAC that will begin making payments when he turns 80. Manny takes $75,000 from his 401(k) balance to pay for the QLAC.

Analysis

Manny will find it easier to plan for his income needs from age 65 to 80 because he knows that he has another source of income that will start at age 80.

The figure below summarizes the different types of fixed annuities. (Click or touch image to enlarge.)



Naomi Brandt bought an FRDA from the Tandem Insurance Company. Select the true statements about her annuity.

Naomi chose an FRDA to grow her principal.

Naomi's FRDA helps her to avoid market risk.

Tandem guarantees a minimum interest-crediting rate on Naomi's annuity.

That's correct!

All of these statements are true. By purchasing an FRDA from Tandem, Naomi will protect and grow her principal, as well as avoid market risk.

Tandem's new current interest-crediting rate on its FRDAs will always be more than or equal to its guaranteed minimum interest-crediting rate.

True

False

That's correct!

The current interest-crediting rate can be higher or lower than the previous rate, but it can't drop below the guaranteed minimum interest-crediting rate stated in the contract.

Assume that the reference index for a given fixed indexed annuity (FIA) lost value over the interest-crediting term. In this situation, the contract owner would lose some of the premiums invested in the contract.

True

False

That's correct!

In this situation, the FIA would not earn any interest credits over the term. As a fixed annuity, however, the FIA would guarantee no loss of principal.

Select the true statements about deferred income annuities (DIAs) and qualified longevity annuity contracts (QLACs).

For DIAs and QLACs, the buyer locks in a guaranteed source of retirement income that will begin at a future date.

Unlike fixed-rate deferred annuities, DIAs and QLACs specify the date when payments will begin.

Like deferred annuities, DIAs and QLACs have an accumulation period and an accumulated value.

Both DIAs and QLACs are categorized as fixed annuities but not deferred annuities.

That's correct!

All of these statements are true except for the third statement. Like immediate annuities, DIAs and QLACs have neither an accumulation period nor an accumulated value.

Variable Annuities

Learning Objective

Explain how variable annuities differ from traditional FRDAs and describe the benefit riders and charges associated with variable annuities.

What kind of customer do you think might be interested in a variable annuity? (Choose all that apply.)

An individual who is comfortable accepting some investment risk.

An individual who wants a guarantee of no loss of principal.

An individual who wants to choose how premiums are invested.

That's correct!

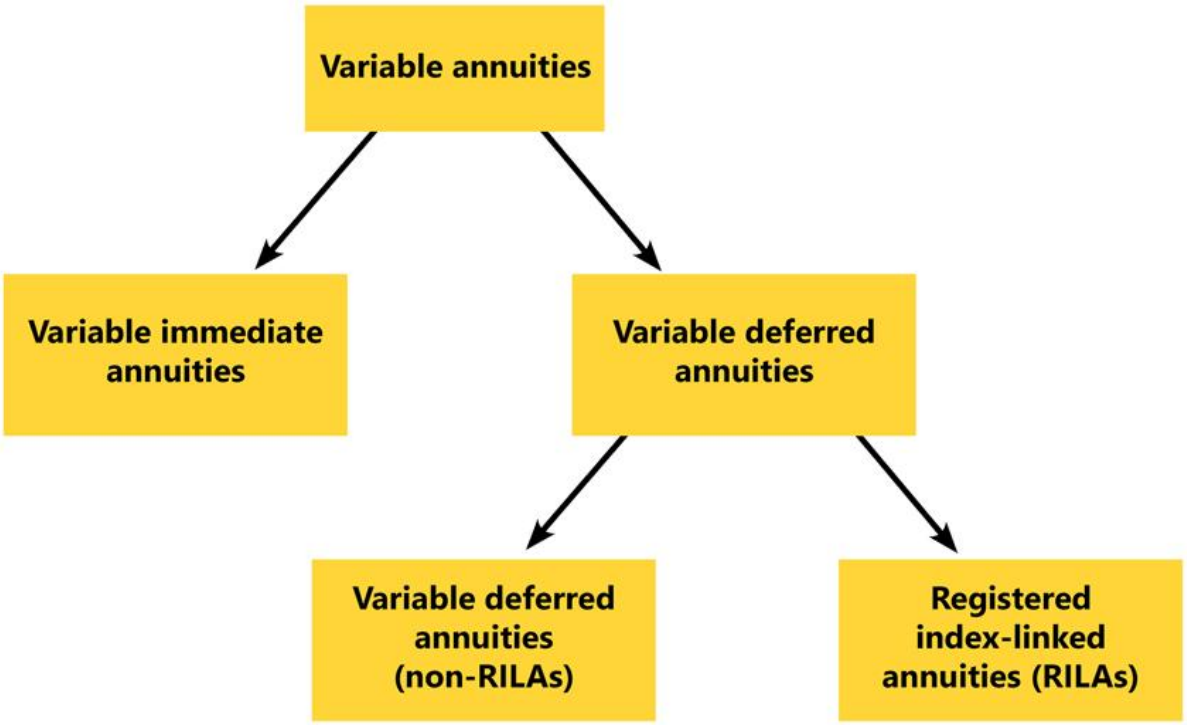
A variable annuity offers fewer guarantees than a fixed annuity. In the absence of a living benefit rider, a variable annuity offers no principal guarantee. (We discuss living benefit riders later in this lesson). On the other hand, a contract owner who is willing to take some risk in how premiums are invested may be able to grow the principal.

Variable Annuities

Traditional variable annuities provide contract owners with investment choice—but along with that investment choice comes the possibility of investment losses. Because of the risk of investment losses, variable annuities must be registered as securities with the Securities and Exchange Commission (SEC).

In recent years, a newcomer has emerged in the variable annuity space: the registered index-linked annuity, or RILA. RILAs operate a bit differently from traditional variable annuities. We discuss RILAs later in this lesson. Until then, when we say *variable annuity*, we are referring to a *variable deferred annuity other than a RILA*.

The chart below summarizes the types of variable annuities. Variable immediate annuities are rare, so our discussion will focus on the more common product—the variable deferred annuity.



With a variable annuity, the following amounts may vary according to market performance:

- The accumulated value
- The annuity payments for contract owners choosing to receive variable annuity payments
- Any withdrawal amounts or annuity payments made under the terms of a living benefit rider

Investment Choice

Within limits, a variable annuity contract owner is free to choose the accounts into which premiums are invested. Click or touch each type of account below to learn more.

Fixed Accounts Subaccounts

Subaccounts, you may recall, are alternative pools of investments, each having a distinct risk/return profile and investment strategy. For example, a subaccount seeking significant growth in the principal usually involves a higher level of risk. These subaccounts are part of the insurer's separate account. Recall that insurers use *separate accounts* to help manage the funds placed in variable products, including variable annuities.

When subaccount values increase, the annuity contract owner—and **not** the insurer—benefits. The contract owner also bears the investment risk when these values decrease. If subaccount values decrease significantly, contract owners even run the risk of losing part of their principal.

Changing Investment Choices

Within stated limitations, contract owners have flexibility in their investment choices. A contract owner can

- Change the percentage of money allocated to fixed accounts and subaccounts
- Transfer funds between fixed accounts and subaccounts

An attractive feature associated with variable annuities is that, during the accumulation period, any transfer of funds among fixed accounts and subaccounts will not trigger a tax liability for the contract owner.

Accumulated Values for Variable Annuities

With variable annuities, contract owners can use their premiums to purchase accumulation units, which represent ownership shares in the selected subaccounts. The insurer normally subtracts certain expense charges from these premiums.

The number of accumulation units that a given amount will purchase depends on the accumulation unit value of the subaccount at that time.

Confused?

Here are the formulas insurers use to calculate the accumulated value of a variable annuity:

Current Value of an Accumulation Unit	x	# of Accumulation Units in the Subaccount	=	Contract Owner's Subaccount Value

Total of All Subaccount Values	+	Fixed Account Values	=	Contract's Total Accumulated Value

The actual calculations for determining a variable annuity's accumulated value are beyond the scope of this course.

A contract owner who chooses to annuitize a variable annuity has the same payout options as a fixed annuity contract owner. In addition to selecting a payout option, variable annuity contract owners can choose fixed or variable payments. Do you think they typically choose fixed annuity payments or variable annuity payments?

Fixed

Variable

They're equally popular

Sorry, that's incorrect.

Fixed payments are more popular because contract owners typically prefer a predictable income stream.
Although contract owners who annuitize are usually looking for predictable income, variable payments may be appropriate for someone who can tolerate risk and market volatility. One advantage of variable payments is that they may offer some protection against inflation risk.

Variable annuity contract owners can also select a combination of fixed and variable annuity payments—for example, half of each payment is fixed, while the other half fluctuates.

Remember, though—few deferred annuity owners choose annuitization.

Carla:

A variable annuity sounds great when the market goes up, but not so great when the market goes down.

John:

That's right! That's why insurers offer guaranteed benefits that can help VA contract owners protect their investments.

Carla:

Are there any guarantees about the size of the death benefit?

John:

Annuity contracts specify how the death benefit will be determined. But, most insurers offer enhanced benefits, including a guaranteed minimum death benefit.

Variable Annuity Riders

Insurers use **policy riders** to amend variable annuity contracts to provide supplemental benefits. The two main types of supplemental benefits are death benefits and living benefits.

Death Benefit Riders

A **guaranteed minimum death benefit (GMDB)** guarantees that the insurer will pay the beneficiary at least a specified minimum amount, regardless of the contract's accumulated value at the time. Insurers offer many variations on the GMDB, but the typical one is a return of premiums less any withdrawals.

Example

Elena Takayashi paid a single premium of $300,000 for a variable annuity with a GMDB. This GMDB guaranteed that the beneficiary—her husband,

Martin—would receive at least a return of premiums less any withdrawals. When Elena died, she had taken no withdrawals. The current accumulated value of her contract had fallen to $250,000 due to market performance.

Analysis

The insurer paid Martin a death benefit of $300,000, which was $50,000 more than he would have received if Elena had not purchased the GMDB.

Living Benefit Riders

Contract owners of variable annuities may have the option of purchasing *living benefit riders*, which offer protection from market downturns by guaranteeing certain income, withdrawal, or accumulation amounts. Owners of other types of deferred annuities—such as FIAs and FRDAs—may also be able to purchase a living benefit rider.

The guaranteed income or withdrawal amounts depend on the contract's *benefit base*, which is a value that the insurer calculates separately from the contract's accumulated value. This benefit base is typically protected from any decreases in the financial markets. For a product like a variable annuity, where the accumulated value fluctuates based on the underlying investments, having a protected value—i.e., the benefit base—can give the contract owner peace of mind.

Click or touch each type of major living benefit rider below to learn more.

Guaranteed minimum ***income*** benefit **(GMIB)**

Guaranteed ***lifetime withdrawal*** benefit **(GLWB)**

Guaranteed minimum ***withdrawal*** benefit **(GMWB)**

Guaranteed minimum accumulation benefit (GMAB)

A **guaranteed minimum accumulation benefit (GMAB)** guarantees a minimum protected amount if the annuity stays in force for a specified period of time.

An important aspect of the GMAB is that it operates automatically. While the owner of a contract with a GMIB, GLWB, or GMWB must choose to utilize the withdrawal or income benefit, the insurer provides the GMAB to the owner if the protected amount exceeds the accumulated value at the end of the specified period.

Tim Gannon
Vice President
Product Management
Fidelity Investments Life

If you're looking at buying a variable annuity with a benefits rider there are many options that you can choose from. One is a GMIB or guaranteed minimum income benefit which promises if you put X amount of dollars into an account, five or ten years down the road it will create a lifetime income stream to you. That will usually be of a fixed nature, similar to an income annuity.

You sometimes have the choice of a withdrawal benefit or WB rider. A withdrawal benefit rider provides a minimum amount of income in retirement but with upside potential based on market participation in the underlying funds.

Another option for a person who is not necessarily looking to create income but wants some level of protection in market participation is an AB or an accumulation benefit product. Sometimes referred to as a GMAB and what these do is, they're a very small piece of the industry, but as the market volatility continues they may become more popular.

They say put $100,000 in, we guarantee you'll get $100,000 out but if the markets participate and do well you'll capture that upside potential. So when you're buying a variable annuity you have to ask yourself the question, what am I looking to accomplish? Am I looking to create lifetime income? Do I want income that has growth potential? Do I just want something that's fixed and set for as long as I live? Or am I looking for a variable annuity that also just provides just principal protection whether or not I want to turn that income on in the future?

Charges for Deferred Annuities

Recall that all deferred annuities—including variable annuities—are subject to surrender charges. For variable annuities, the surrender charge is usually called a *contingent deferred sales charge*, or CDSC.

Variable annuities also include explicit expense charges to cover services such as contract maintenance and fund management. These explicit expense charges are established at contract issue and do not change while the contract is in force.

Andrew Yates purchased a variable annuity with a guaranteed minimum death benefit (GMDB) from Jardim Insurance and named his wife, Flora, as the beneficiary.

Which statements are true about this situation? (Choose all that apply.)

A GMDB guarantees that Jardim will pay Flora at least a specified minimum amount, regardless of the contract's accumulated value at the time of Andrew's death.

Jardim pays the GMDB only if Andrew dies after annuitizing the contract.

Insurers like Jardim offer many variations on the GMDB, including all premiums paid, less withdrawals.

Sorry, that's incorrect.

A GMDB does guarantee that Jardim will pay Flora at least a specified minimum amount, and insurers like Jardim offer many variations on the GMDB. However, Jardim pays the GMDB only if Andrew dies during the annuity's accumulation period.

Of the following living benefit riders, which one bases the annuity payment amounts on annuitization of the benefit base?

Guaranteed minimum withdrawal benefit (GMWB)

Guaranteed minimum accumulation benefit (GMAB)

Guaranteed lifetime withdrawal benefit (GLWB)

Guaranteed minimum income benefit (GMIB)

Sorry. That's incorrect.

Of these four living benefit riders, only the GMIB bases the annuity payment amounts on annuitization of the benefit base. Typically, the contract owner must keep the annuity in force for a certain number of years during the accumulation period, which is known as the "waiting period," before having the option to annuitize.

Which of the following types of annuities typically come with surrender charges? (Choose all that apply.)

Fixed indexed annuities (FIAs)

Fixed-rate deferred annuities (FRDAs)

Variable deferred annuities

That's correct!

All of these annuities are types of deferred annuities. Deferred annuities, whether they're fixed or variable, typically come with surrender charges.

RILAs: The New Kid on the Block

Learning Objective

Compare and contrast a registered index-linked annuity (RILA) with a traditional variable annuity and a fixed indexed annuity (FIA).

Insurers have created a variable product called a registered index-linked annuity (RILA). Knowing that it's a variable product, how do you think a RILA works? (Choose all that apply.)

A RILA is a security.

A RILA owner can lose money if the subaccounts perform poorly.

RILAs

In recent years, registered index-linked annuities (RILAs) have become popular with customers seeking equity market exposure combined with some protection against investment losses. As the word "registered" indicates, a RILA must be registered as a security, just like a traditional variable annuity.

RILAs resemble FIAs in the following ways:

- The insurer invests RILA premiums in its general account.
- RILAs offer the potential for principal growth based on the performance of a stock market index, such as the S&P 500, over a specified term, such as one year or more. Also like FIAs, this growth is subject to specified limits—sometimes called *caps* or *participation rates*.

Because RILAs are variable annuities, though, contract owners can lose money on them. Recall that a variable annuity contract owner can lose money if the underlying investments—or subaccounts—perform poorly.

Although RILAs don't have subaccounts, they do have an investment component—because principal growth is affected by the performance of an associated stock market index. With a RILA, the contract owner can lose money based on decreases in the value of the stock market index.

However, unlike traditional variable annuities, RILAs offer contract owners some protection against excessive investment loss by using **buffers** or **floors**. Please click or touch each box below to learn more.

Buffer

With a *buffer*, the accumulated value is protected until index losses exceed a specified limit, such as 10%, 15%, or

20%. For example, with a 10% buffer, if the value of the index decreases by 15%, you would lose 5%.

Floor

With a *floor*, the accumulated value is protected from index losses in excess of a specified percentage, such as 10%. For example, with a 10% floor, if the value of the index decreases by 15%, you would lose 10%.

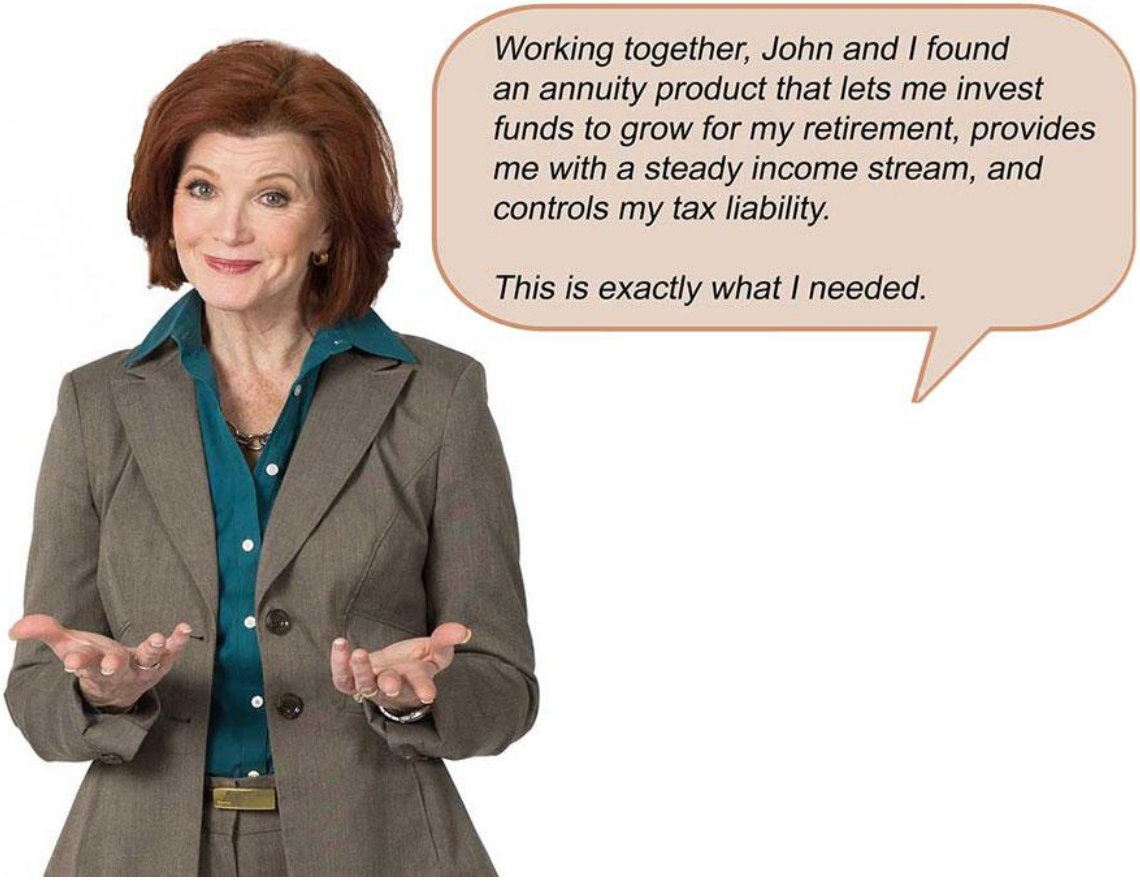
For simplicity, we are assuming that the contract owner selects just one buffer or floor. In reality, with most RILAs, owners can divide their premium(s) between different buffer and floor options.

Because RILAs are deferred annuities, they come with surrender charges.

Valerie Jordan purchased a RILA from the Tandem Insurance Company. At the end of the term, the index dropped 15% in value, and the accumulated

value of Valerie's RILA decreased by 5%. This information indicates that Valerie's RILA has a

Floor of 10%

Buffer of 10%

Conclusion